

neither Dr. Kuo nor Dr. Branham are required to prepare a comprehensive report during that timeframe.

9. The provisions of Cal. Code of Civ. Proc § 2032.510 shall apply to this mental examination.
10. Defendants' attorney shall prepare and e-file an order that conforms to this order no later than five (5) day from the date of this hearing, attaching a copy of this tentative ruling.

5. 9:00 AM CASE NUMBER: C23-02424
CASE NAME: DANIEL HOCOG VS. SERVICE MANAGEMENT SYSTEMS, INC.
***HEARING ON MOTION IN RE: PRELIMINARY APPROVAL**
FILED BY: HOCOG, DANIEL THOMAS ATALIG
TENTATIVE RULING:

Summary

Plaintiff's Motion for Preliminary Approval of Class Action and PAGA Settlement is **granted** as set forth herein.

Background

On September 24, 2025, Plaintiffs Daniel Thomas Atalig Hocog and Alfred Estrada Santos Jr.'s (collectively, "Plaintiffs") filed their Motion for Preliminary Approval of Class Action and PAGA Settlement ("Motion"), including the Declaration of John G. Yslas, and the Joint Stipulation Re: Class Action and PAGA Settlement ("Initial Settlement") and Supplemental Agreement to Class Action and PAGA Settlement Agreement ("Supplemental Agreement"). The relief sought is as follows:

1. Granting preliminary approval of the proposed Joint Stipulation Re: Class Action and PAGA Settlement ("Initial Settlement") and Supplemental Agreement to Class Action and PAGA Settlement Agreement ("Supplemental Agreement") (collectively, with "Initial Settlement", the "Settlement").
2. Conditionally certifying the proposed Class for settlement purposes only;
3. Conditionally appointing Plaintiffs as the Class Representatives;
4. Conditionally appointing Wilshire Law Firm, PLC as Class Counsel;
5. Appointing Apex Class Action Administration as the Settlement Administrator; and
6. Setting a final approval hearing date

A. Settlement Terms

The original complaint was filed on September 26, 2023, raising class action claims on behalf of non-exempt employees, alleging that Defendant Services Management Systems, Inc ("Defendant") violated the Labor Code by failing to pay minimum wages and failure to pay all wages due on separation. A First Amended Complaint was filed on August 26, 2026. The main terms of the Settlement are as follows:

1. A Gross Settlement Amount of \$265,000.00, which will be distributed to approximately 321 Class Members on a pro rata basis according to the total workweeks worked by each Class Member during the Class Period;
2. Attorneys' fees of up to one-third (1/3) of the Gross Settlement Amount (currently

\$88,333.33) and in reimbursement of litigation costs to Plaintiffs' Counsel up to \$20,000.00; The entire settlement amount will be deposited with the settlement administrator within 28 days after the effective date of the settlement (which is specifically defined to account for contingencies such as objections and appeals).

3. Class Representatives Service Payments of up to \$5,000.00 to each Plaintiff;

4. Costs of settlement administration of up to \$8,800.00; and

5. Allocation of \$40,000.00 to PAGA penalties, seventy-five percent (75%) of which (\$30,000.00) will be paid to the Labor and Workforce Development Agency ("LWDA"), and twenty-five percent (25%) of which (\$10,000.00) will be paid to all non-exempt, hourly individuals that worked for Defendant in California at any time during the PAGA Period from January 2, 2023 through May 13, 2025.

The proposed settlement would certify a class of consisting of all current and former non-exempt employees employed by Defendant in California during the Class Period from April 1, 2019 through April 1, 2025, (or if any such person is incompetent, deceased or unavailable due to military service, the person's legal representative or successor in interest evidenced by reasonable verification). See Settlement Agreement at ¶¶ 1(f)-(g). The Class is also readily ascertainable from Defendant's business records, because all Class Members are or were employees of Defendant. Yslas Decl. at ¶ 12. Defendant's records show there are approximately 321 Class Members, which Plaintiffs contend makes joinder of all Class Members impracticable.

The settlement contains release language covering "all claims arising during the Class Period under state, federal, or local law, arising out of the claims pleaded in the Complaint on file in the action[...] claims based on alleged violations of these Labor Code and Wage Order provisions) and all other claims, such as those under the California Labor Code, Wage Orders, regulations, and/or other provisions of law, that could have been pleaded based on the facts asserted in the Action, including, but not limited to: (1) failure to timely pay employees upon separation or discharge; (2) failure to pay all wages due and owing for time worked; (3) all related violations of the applicable Wage Orders; (4) all related violations of California's unfair competition law; and (5) interest, fees, and costs[...]" Under recent appellate authority, the limitation to those claims with the "same factual predicate" as those alleged in the complaint is critical. (*Amaro v. Anaheim Arena Mgmt., LLC* (2021) 69 Cal.App.5th 521, 537 ["A court cannot release claims that are outside the scope of the allegations of the complaint." "Put another way, a release of claims that goes beyond the scope of the allegations in the operative complaint' is impermissible."] *Id.*, quoting *Marshall v. Northrop Grumman Corp.* (C.D. Cal.2020) 469 F.Supp.3d 942, 949.) Thus, it is important that the "Released Claims" includes only claims that could have been pleaded "based on the facts asserted in the Action."

Counsel also has provided an analysis of the case, broken down by the unpaid minimum wage claims, rest breaks, and other claimed violations and applied a risk analyses of success at trial and potential exposure. Counsel attests that defendant may have substantial defenses, some based on the existence of a collective bargaining agreement and arbitration clauses and others based on "good faith," under *Naranjo v. Spectrum Sec. Serv., Inc.* (2024 15 Cal.5th 1056, 1077-1081.

B. Legal Standards

The primary determination to be made is whether the proposed settlement is “fair, reasonable, and adequate,” under *Dunk v. Ford Motor Co.* (1996) 48 Cal.App.4th 1794, 1801, including “the strength of plaintiffs’ case, the risk, expense, complexity and likely duration of further litigation, the risk of maintaining class action status through trial, the amount offered in settlement, the extent of discovery completed and the state of the proceedings, the experience and views of counsel, the presence of a governmental participant, and the reaction ... to the proposed settlement.” (See also *Amaro v. Anaheim Arena Mgmt., LLC*, *supra*, 69 Cal.App.5th 521.)

California law provides some general guidance concerning judicial approval of any settlement. First, public policy generally favors settlement. (*Neary v. Regents of University of California* (1992) 3 Cal.4th 273.) Nonetheless, the court should not approve an agreement contrary to law or public policy. (*Bechtel Corp. v. Superior Court* (1973) 33 Cal.App.3d 405, 412; *Timney v. Lin* (2003) 106 Cal.App.4th 1121, 1127.) Moreover, “[t]he court cannot surrender its duty to see that the judgment to be entered is a just one, nor is the court to act as a mere puppet in the matter.” (*California State Auto. Assn. Inter-Ins. Bureau v. Superior Court* (1990) 50 Cal.3d 658, 664.) As a result, courts have specifically noted that *Neary* does not always apply, because “[w]here the rights of the public are implicated, the additional safeguard of judicial review, though more cumbersome to the settlement process, serves a salutary purpose.” (*Consumer Advocacy Group, Inc. v. Kintetsu Enterprises of America* (2006) 141 Cal.App.4th 48, 63.)

C. Attorney fees

Plaintiff seeks one-third of the total settlement amount as fees, relying on the “common fund” theory. Even a proper common fund-based fee award, however, should be reviewed through a lodestar cross-check. In *Lafitte v. Robert Half International* (2016) 1 Cal.5th 480, 503, the Supreme Court endorsed the use of a lodestar cross-check as a way to determine whether the percentage allocated is reasonable. It stated: “If the multiplier calculated by means of a lodestar cross-check is extraordinarily high or low, the trial court should consider whether the percentage used should be adjusted so as to bring the imputed multiplier within a justifiable range, but the court is not necessarily required to make such an adjustment.” (*Id.*, at 505.) Following typical practice, however, the fee award will not be considered at this time, but only as part of final approval.

Similarly, litigation costs and the requested representative payment of \$5,000 for each plaintiff will be reviewed at time of final approval. Criteria for evaluation of representative payment requests are discussed in *Clark v. American Residential Services LLC* (2009) 175 Cal.App.4th 785, 804-807.

Ruling

The Court finds that the settlement is sufficiently fair, reasonable, and adequate to justify preliminary approval. The Motion is **granted**. The Court will execute the proposed order lodged on September 24, 2025. The ultimate judgment must provide for a compliance hearing after the settlement has been completely implemented. The Court will set the date in the proposed order. Plaintiffs’ counsel are to submit a compliance statement one week before the compliance hearing date, which shall include the matters necessary to comply with Code of Civil Procedure section 384(b). Five percent (5%) of the attorney’s fees are to be withheld by the claims administrator pending satisfactory compliance as found by the Court. No appearance is required at the hearing on March 4, 2026.